

Micron Technology

Substantial Beat-and-Raise and Major SCA Expansion Anchor a Higher and More Durable Earnings Floor; Capital Return Pivot Post-Dec 2026 Adds Another Value Unlock Lever; Reit OW

Results and guidance were far ahead of pre-call Street and buy side expectations, but to us the even more meaningful development was MU's substantial expansion of its Strategic Customer Agreements (SCAs) from a single 5-year contract (announced last qtr) to 16 signed agreements, a step-change that in our view fundamentally transforms MU's business model from cyclical commodity producer to multi-year contracted supplier with significant downside protection on both revenue and margins. May-Qtr revenue of \$41.5B (+74% Q/Q, +346% Y/Y) leapfrogged Street consensus (\$35.6B) with both DRAM and NAND ASPs continuing to surge (DRAM +63% Q/Q, NAND +87% Q/Q, per JPMe) as supply remains structurally constrained, and GM% reached an all-time high at 84.9%. Aug-Qtr guidance (rev/GM/EPS of \$50B/~86%/\$31) implies another sequential step-up, though mgmt has guided to a "meaningful moderation in the rate of price increases" (consistent with our pre-call expectations), though in our view the pricing growth trajectory from here matters less than the durability of the price levels already achieved, which the SCA framework increasingly anchors. The 16 signed SCAs include 4 large customers (which we suspect include both hyperscalers and a major consumer device OEM), 3 medium-sized customers, and the remainder smaller auto customers, and collectively account for ~20% of MU's DRAM volume and ~33% of NAND volume across the agreement term (CY26-CY30), with mgmt targeting ~50% or more of company revenue under SCA commitments when all planned agreements are executed. Critically, the 14 of 16 SCAs with defined price bands collectively represent ~\$100B of cumulative revenue at floor pricing (i.e. minimum committed), with mgmt explicit that the floor-price gross margins are "well above peak margins in any past cycle" (vs. last cycle peak GM of ~62%), effectively establishing a higher and more durable margin floor than at any time in MU's history. Customer commitment is also reflected in \$22B of cash deposits and related financial commitments (of which \$18B is unrestricted cash; ~\$10B to be received in F4Q26 alone), which sit on MU's B/S during the contract term and are returned weighted to the back-half. Other notable takeaways: MU raised its HBM TAM for CY27 to "easily crossing \$100B" (vs. prior timing of CY28) - approaching our estimate of ~\$129B, and mgmt now expects DRAM/NAND supply-demand tightness to persist beyond CY27 (vs. prior beyond CY26). MU's HBM4 12-high is ramping 2x faster than HBM3E with >\$1B already shipped, and FY26 capex was raised to ~\$27B (with FY27 above the mid-\$40B level, supporting CY28+ supply additions). With cash building substantially (F3Q net cash of \$24.4B, F4Q FCF tracking toward ~\$30B +, plus ~\$10B in incoming customer deposits in F4Q alone), MU is positioned for a meaningful capital return inflection post-Dec 9, 2026 (2-yr anniversary of CHIPS Act agreements), and explicitly indicating a 100% return of excess cash to shareholders over time, with share buybacks as the primary mechanism. We are raising forward estimates materially and establishing a December 2027 PT of \$1540. We reiterate our Overweight rating on MU.

Overweight

MU, MU US

Price (24 Jun 26):\$1,048.51

▲ **Price Target (Dec-27):\$1,540.00**

Prior (Dec-26):\$550.00

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J.P. Morgan Securities LLC

Key Changes (FYE Aug)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	58.84	73.69	25.2%

Quarterly Forecasts (FYE Aug)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	1.79	4.78A	34.54
Q2	1.56	12.20A	37.09
Q3	1.88	25.12A	39.90
Q4	3.00	31.59	42.13
FY	8.23	73.69	153.65

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	44	42	27	30	12
Growth	7	25	64	96	93
Momentum	2	1	48	96	23
Quality	6	22	42	15	20
Low Vol	72	65	67	36	44
ESGQ	85	80	73	37	20

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	267.4%	39.6%	165.1%	719.7%
Rel	259.9%	41.2%	152.9%	698.9%

Company Data

Shares O/S (mn)	1,145
52-week range (\$)	1,213.56-103.38
Market cap (\$ mn)	1,200,544.00
Exchange rate	1.00
Free float (%)	99.7%
3M ADV (mn)	50.88
3M ADV (\$ mn)	35,159.0
Volatility (90 Day)	92
Index	S&P 500
BBG ANR (Buy Hold Sell)	50 5 0

Key Metrics (FYE Aug)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	37,310	130,002	251,402
Adj. EBIT	9,702	97,701	205,388
Adj. EBITDA	18,054	106,927	207,752
Adj. net income	9,402	84,701	176,699
Adj. EPS	8.23	73.69	153.65
BBG EPS	8.07	62.08	120.61
Cashflow from operations	17,457	78,982	167,932
FCFF	3,605	52,169	120,132
Margins and Growth			
Revenue Growth Y/Y (%)	48.6%	248.4%	93.4%
EBIT margin	26.0%	75.2%	81.7%
EBIT Growth Y/Y (%)	644.0%	907.1%	110.2%
EBITDA margin	48.4%	82.3%	82.6%
EBITDA Growth Y/Y (%)	98.7%	492.3%	94.3%
Net margin	25.2%	65.2%	70.3%
Adj. EPS growth	550.2%	795.8%	108.5%
Ratios			
Adj. tax rate	11.7%	14.9%	15.1%
Interest cover	-	-	-
Net debt/Equity	0.1	NM	NM
Net debt/EBITDA	0.2	NM	NM
ROE	18.9%	89.5%	81.6%
Valuation			
FCFF yield	0.3%	4.3%	10.0%
Dividend yield	-	-	-
EV/Revenue	32.3	8.9	4.1
EV/EBITDA	66.7	10.8	5.0
Adj. P/E	127.5	14.2	6.8

Summary Investment Thesis and Valuation

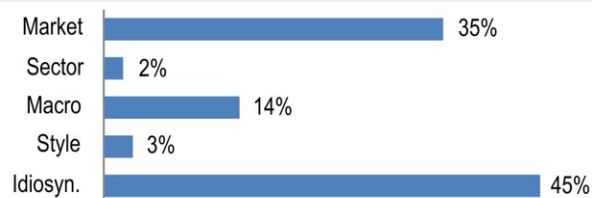
Investment Thesis

- Our Overweight thesis is based on memory fundamentals remaining solid in the midterm and management's focus on improving margin profiles across business segments (particularly in its NAND segment), driving better profitability.
- Longer term, the company's increasing product and end-market diversification should reduce revenue/earnings volatility and also position the company to do well in markets (handset) that require multiple types of memory.
- Micron should benefit from secular trends in data center DRAM (HBM), which should help it reduce volatility to commodity DRAM.
- After the Elpida acquisition, we believe Micron will be positioned well to benefit from secular trends in mobility, networking, and cloud computing.
- New technology, divestiture of non-core assets, and cost-cutting efforts should help it improve gross margins and profitability in the coming quarters.

Valuation

We establish a Dec-27 PT of \$1540 (from \$550 for Dec-26), which is based on 10x (10-yr median P/E multiple) \$154 of EPS in FY28.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.59	0.62
Sect: Technology	0.21	0.20
Ind: Semicond & S Equip	0.34	0.32
Macro:		
Economic Surprise	-0.38	-0.25
Crude Oil	-0.15	0.21
Non-Energy Commodity	0.21	0.18
Quant Styles:		
Quality	-0.09	-0.17
LowVol	-0.34	-0.15
Value	-0.14	0.13

- **Major F3Q (May-Qtr) beat across the board on DRAM/NAND ASP strength, with all four BUs setting records and GM% hitting yet another all-time high.** May-Qtr revs of \$41.5B (+74% Q/Q, +346% Y/Y) were substantially ahead of consensus (\$35.6B), with growth in both DRAM (+67% Q/Q to \$31.3B, 76% of revs) and NAND (+99% Q/Q to \$9.9B, 24% of revs) significantly outpacing already-elevated expectations. The \$17.6B sequential revenue step-up was the largest in MU's history (surpassing the \$10.2B record set just last quarter), and was again led primarily by pricing, with DRAM ASPs up low-60s% Q/Q and NAND ASPs up mid-80s% Q/Q, while bit shipments are still constrained by MU's limited ability to grow supply (DRAM/NAND bits up LSD%/MSD% Q/Q, respectively). ASP gains, favorable mix, and continued strong execution drove GM% to a record 84.9% (up ~10 ppts Q/Q, vs. Street consensus of 81.8%). All four BUs set new records: Cloud Memory \$13.8B (+78% Q/Q, GM 83%), Core Data Center \$11.5B (+103% Q/Q, GM 87%), Mobile and Client \$11.5B (+49% Q/Q, GM 87%), and Auto and Embedded \$4.6B (+71% Q/Q, GM 79%). Notably, Q3 also marked the first quarter that data center revenue exceeded \$25B (CMBU + CDBU combined, i.e. a ~\$100B+ annualized run rate), with DC SSD revenue alone surpassing \$5B (more than 2x Q/Q). EPS of \$25.12 was also a record, with operating leverage continuing to widen as the business scales.
- **Aug-Qtr guidance implies another substantial step-up, with operating leverage being a larger driver as ASP growth moderates.** Aug-Qtr revs were guided to \$50B at the midpt (+21% Q/Q, +343% Y/Y), well above consensus of \$43.1B, and implying continued strong sequential growth even as MU approaches what mgmt characterized as a "meaningful moderation in the rate of price increases." GM% was guided to ~86% (+110bps Q/Q from F3Q26's 84.9%), implying a moderating pace of expansion vs. the +10 ppt Q/Q step-up delivered in F3Q. Opex of ~\$1.65B (+8% Q/Q vs. revenue +21% Q/Q) reflects continued operating leverage, and EPS of \$31.00 (midpt) implies +24% sequential growth. Mgmt also flagged that FY27 opex will grow by ~\$1B Y/Y (largely R&D-led, weighted to 2H FY27) to support an "unprecedented set of opportunities" across memory and storage. FCF is projected to "increase substantially again" in F4Q (implying ~\$30B+ trajectory, vs. F3Q's \$18.3B record), and MU expects to receive an additional ~\$10B in customer cash deposits during F4Q alone as the SCA framework continues to roll out, supporting a meaningful B/S step-up heading into CY27.
- **Increasing forward estimates and establishing Dec-27 PT of \$1540 - maintain OW rating.** We increase our forward estimates. We establish a Dec-27 PT of \$1540, which is based on 10x (10-yr median P/E multiple) \$154 of EPS in FY27.

Micron Technology F3Q26 Results and F4Q26 Guidance

In F3Q26, DRAM accounted for 76% of revenue (DRAM revenues up 67% Q/Q), while NAND accounted for 24% of revenue (NAND revenues up 99% Q/Q).

Table 1: F3Q26 (May-Q) Earnings Summary and F4Q26 (Aug-Q) Outlook

\$ in millions, except per share data

MU	F3Q26 Actual	JPM Estimate	Diff	F3Q26 Consensus	F4Q26 Guidance	F4Q26 Consensus
Revenue (\$M)	\$41,456	\$33,638	\$7,818	\$35,631	\$51,000	\$43,094
Q/Q Change	73.7%	41.0%	32.8%			
Gross Margin (PF)	84.9%	81.2%	3.7%	81.8%	86.0%	83.5%
Op Margin (PF)	81.2%	77.0%	4.3%			
Net Income (PF)	\$28,864	\$21,991	\$6,873			
Pro-forma EPS	\$25.12	\$19.24	\$5.88	\$20.49	\$31.00	\$25.31

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Cash Flow / Balance Sheet and Capital Expenditures

The company exited F3Q26 with ~\$26B in cash/investments and generated \$25.4B in cash flow from operations (vs. \$11.9B in F2Q26). Total capital investment in F3Q26 net of partner contributions was ~\$7B (vs. \$5B in the prior quarter) and Micron's adjusted free cash flow was \$18.3B during the quarter. The team expects FY26 net capex to be \$27B (up from \$25B+ previously).

Increasing our estimates

Our FY26 revenue/EPS estimates move to \$130B/\$73.69 from \$109.7B/\$58.84.

Appendix I – Valuation Table

Table 2: Memory/Storage Peer Companies Valuation Table

Company Name	Bloomberg Ticker	Currency	Analyst	Price	YTD Change %	Market Cap (\$ mm)	Sales C26E	Sales C27E	EPS C2026E	EPS C2027E	P/2026	P/2027	Current P/B(x)
Micron	MU	USD	Harlan Sur	\$1,048.51	267.4%	\$1,182,440	\$ 172,887	\$ 267,361	\$ 103.46	\$ 161.97	10.1x	6.5x	16.3x
Western Digital	WDC	USD	Joseph Cardoso	\$643.83	273.7%	\$235,624	\$ 15,156	\$ 20,522	\$ 13.87	\$ 21.57	46.4x	29.9x	22.9x
Seagate	STX	USD	Joseph Cardoso	\$993.25	260.7%	\$222,715	\$ 14,273	\$ 18,835	\$ 21.35	\$ 33.35	46.5x	29.8x	NA
Sandisk	SNDK	USD	Harlan Sur	\$1,914.46	N/A	\$283,512	\$ 36,516	\$ 49,920	\$ 152.00	\$ 206.58	12.6x	9.3x	20.6x
Samsung	005930 KS	KRW	Jay Kwon	356500	196.1%	\$1,347,643	689,154,944	874,879,380	44,508	61,524	8.0x	5.8x	4.3x
Nanya	2408 TT	NTD	Jay Kwon	\$468.50	142.7%	\$50,746	\$ 275,841	\$ 358,248	\$ 45.96	\$ 57.12	10.2x	8.2x	7.5x
Median											10.2x	8.2x	14.3x

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Note: J.P. Morgan estimates used for MU, WDC and SNDK, while Bloomberg estimates are used for all other companies. Pricing as of the close of market on 6/24/2026. MU's earnings exclude SBC and amortization.

Appendix II: Financial Tables

Table 3: MU Income Statement

\$ in millions, except per share data

	F24A	Nov '24	Feb '25	May '25	Aug '25	F25A	Nov '25	Feb '26	May '26	Aug '26	F26E	Nov '26	Feb '27	May '27	Aug '27	F27E	Nov '27
		1Q25A	2Q25A	3Q25A	4Q25A		1Q26A	2Q26A	3Q26A	4Q26E		1Q27E	2Q27E	3Q27E	4Q27E		1Q28E
Total Revenue	25,111	8,709	8,053	9,267	11,281	37,310	13,643	23,860	41,456	51,042	130,002	56,529	60,560	65,006	69,307	251,402	72,487
% Change Y/Y	61.6%	84.3%	38.3%	36.1%	45.6%	48.6%	56.7%	196.3%	347.4%	352.5%	248.4%	314.3%	153.8%	56.8%	35.8%	93.4%	28.2%
% Change Q/Q		12.4%	-7.5%	15.1%	21.7%		20.9%	74.9%	73.7%	23.1%		10.7%	7.1%	7.3%	6.6%		4.6%
Cost of Sales - (GAAP)	19,498	5,361	5,090	5,793	6,261	22,505	5,997	6,105	6,400	7,051	25,553	8,532	9,092	9,707	10,973	38,305	13,144
% Change Y/Y	15.0%	12.6%	7.3%	16.3%	24.9%	15.4%	11.9%	19.9%	10.5%	12.6%	13.5%	42.3%	48.9%	51.7%	55.6%	49.9%	54.1%
% Change Q/Q		6.9%	-5.1%	13.8%	8.1%		-4.2%	1.8%	4.8%	10.2%		21.0%	6.6%	6.8%	13.0%		19.8%
Cost of Sales - (Pro forma - excl options)	19,168	5,268	5,000	5,678	6,146	22,092	5,890	5,984	6,257	6,908	25,039	8,389	8,949	9,564	10,830	37,733	13,001
Gross Profits	5,613	3,348	2,963	3,474	5,020	14,805	7,646	17,755	35,056	43,992	104,449	47,997	51,468	55,298	58,334	213,097	59,343
Gross Margin (GAAP)	22.4%	38.4%	36.8%	37.5%	44.5%	39.7%	56.0%	74.4%	84.6%	86.2%	80.3%	84.9%	85.0%	85.1%	84.2%	84.8%	81.9%
GM ex writedowns, charges		39.5%	37.9%	38.7%	45.5%		56.7%	74.9%	84.9%	86.2%		84.9%	85.0%	85.1%	84.2%		81.9%
Gross Profits (Non-GAAP, excl. SBC)	5,943	3,441	3,053	3,589	5,135	15,218	7,753	17,876	35,199	44,135	104,963	48,140	51,611	55,441	58,477	213,669	59,486
Gross Margin (non-GAAP)	23.7%	39.5%	37.9%	38.7%	45.5%	40.8%	56.8%	74.9%	84.9%	86.5%	80.7%	85.2%	85.2%	85.3%	84.4%	85.0%	82.1%
Operating Expenses:																	
SG&A	1,129	288	285	318	314	1,205	337	344	407	439	1,527	443	448	452	457	1,799	461
R&D	3,430	888	898	965	1,047	3,798	1,171	1,250	1,316	1,419	5,156	1,433	1,447	1,462	1,476	5,818	1,491
Other Operating Expense	(250)	(2)	7	56	39	100	2	26	15	23	66	23	23	23	23	92	23
		-3.4%	1%	13%	5%		7.9%	7%	7%	8%		1.0%	1%	1%	1%		1.0%
Goodwill Impairment	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Restructuring Charges	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP total operating expenses	4,309	1,174	1,190	1,339	1,400	5,103	1,510	1,620	1,738	1,880	6,748	1,899	1,918	1,937	1,956	7,709	1,975
Operating Income (GAAP)	1,304	2,174	1,773	2,135	3,620	9,702	6,138	16,135	33,318	42,111	97,701	46,098	49,551	53,362	56,378	205,388	57,368
Operating Margin	5.2%	25.0%	22.0%	23.0%	32.1%	26.0%	45.0%	67.6%	80.4%	82.5%	75.2%	81.5%	81.8%	82.1%	81.3%	81.7%	79.1%
Pro-Forma Operating Income (excl. SBC)	1,936	2,394	2,007	2,456	3,922	10,779	6,417	16,457	33,681	42,457	99,013	46,444	49,897	53,708	56,724	206,772	57,714
Operating Margin (non-GAAP)	7.7%	27.5%	24.9%	26.5%	34.8%	28.9%	47.0%	69.0%	81.2%	83.2%	76.2%	82.2%	82.4%	82.6%	81.8%	82.2%	79.6%
Interest Income/(Expense)	(33)	(11)	(4)	12	22	19	65	123	215	215	618	215	215	215	215	860	215
Other Income/(Expense), net	(31)	(11)	(11)	(68)	(45)	(135)	(140)	(98)	(321)	(321)	(880)	(321)	(321)	(321)	(321)	(1,284)	(321)
Interest/Other (GAAP)	(64)	(22)	(15)	(56)	(23)	(116)	(75)	25	(106)	(106)	(262)	(106)	(106)	(106)	(106)	(424)	(106)
Pretax Income (GAAP)	1,240	2,152	1,758	2,079	3,597	9,586	6,061	16,160	33,212	42,005	97,439	45,992	49,445	53,256	56,272	204,964	57,262
% Total Revenue	4.9%	24.7%	21.8%	22.4%	31.9%	25.7%	44.4%	67.7%	80.1%	82.3%	75.0%	81.4%	81.6%	81.9%	81.2%	81.5%	79.0%
Non-GAAP Income Taxes	(300)	(280)	(162)	(306)	(471)	(1,219)	(977)	(2,371)	(4,978)	(6,343)	(14,669)	(6,945)	(7,466)	(8,042)	(8,497)	(30,950)	(8,647)
Tax Rate	16.0%	11.8%	8.1%	12.8%	12.1%	11.4%	15.4%	14.4%	14.8%	15.0%	14.9%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
Other/Extraordinary Items (equity method i	(11)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Non controlling interest	0	1	2	7	(1)	9	8	(4)	9	0	13	0	0	0	0	0	0
Adjustment for stock-based comp	45	16	20	19	14	69	10	7	4	4	25	4	4	4	4	16	4
EPS (Pro-forma)	\$1.27	\$1.79	\$1.56	\$1.88	\$3.00	\$8.23	\$4.78	\$12.20	\$25.12	\$31.59	\$73.69	\$34.54	\$37.09	\$39.90	\$42.13	\$153.65	\$42.86
% Change Y/Y	NM	NM	271.4%	203.8%	154.2%	550.2%	166.8%	682.2%	1238.7%	953.2%	795.8%	623.3%	203.9%	58.8%	33.3%	108.5%	24.1%
% Change Q/Q		51.7%	-12.8%	20.3%	59.9%		59.2%	155.5%	105.9%	25.8%		9.3%	7.4%	7.6%	5.6%		1.7%

Source: Company reports and J.P. Morgan estimates, Pro-forma estimates exclude stock compensation and amortization of intangibles

Table 4: MU Balance Sheet

\$ in millions

	Nov'24	Feb'25	May'25	Aug'25	Nov'25	Feb'26	May'26	Aug'26	Nov'26	Feb'27	May'27	Aug'27	Nov'27
FY End - August	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26A	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E
ASSETS													
Cash & short-term investments	7,588	8,215	10,811	10,307	10,318	14,589	26,022	47,507	74,040	103,311	132,225	163,889	198,574
Accounts receivable, net	7,423	6,504	7,436	9,265	10,184	17,314	31,025	27,968	30,975	30,975	33,184	35,620	39,719
Inventories	8,705	9,007	8,727	8,355	8,205	8,267	8,567	9,272	11,220	11,220	11,957	12,766	17,286
Other	777	963	945	914	958	1,243	1,123	1,123	1,123	1,123	1,123	1,123	1,123
Total Current Assets	24,493	24,689	27,919	28,841	29,665	41,413	66,737	85,870	117,358	146,629	178,489	213,397	256,702
Goodwill, Intangible Assets, net	1,150	1,150	1,150	1,150	1,615	1,618	1,623	1,623	1,623	1,623	1,623	1,623	1,623
Property, Plant & Equipment, net	41,476	42,528	44,773	46,590	48,477	51,408	56,426	64,292	72,658	82,024	92,390	102,756	111,122
Deferred income taxes	474	552	483	616	641	680	700	700	700	700	700	700	700
Equity method investments	0	0	0	0	0	0	0	0	0	0	0	0	0
Restricted Cash	1,156	1,375	1,402	1,629	1,697	2,038	4,106	4,106	4,106	4,106	4,106	4,106	4,106
Other noncurrent assets	2,712	2,759	2,670	3,972	3,876	4,352	4,520	4,520	4,520	4,520	4,520	4,520	4,520
Total Assets	71,461	73,053	78,397	82,798	85,971	101,509	134,112	161,111	200,965	239,602	281,828	327,102	378,773
LIABILITIES													
Accounts payable & accrued expenses	7,126	6,176	8,761	9,649	9,796	10,997	15,521	8,108	9,812	9,812	10,456	11,163	15,116
Deferred Income	1,356	1,197	836	1,245	0	0	0	0	0	0	0	0	0
Equipment purchase contracts	0	0	0	0	0	0	0	0	0	0	0	0	0
Current portion of long term debt	533	504	538	560	569	585	582	582	582	582	582	582	582
Other current liabilities	0	0	0	0	1,695	2,714	3,385	3,385	3,385	3,385	3,385	3,385	3,385
Total Current Liabilities	9,015	7,877	10,135	11,454	12,060	14,296	19,488	12,075	13,779	13,779	14,423	15,130	19,083
Long term debt	13,252	13,851	15,003	14,017	11,187	9,557	5,140	5,140	5,140	5,140	5,140	5,140	5,140
Deferred income taxes	2,397	2,692	2,511	3,162	3,918	5,197	8,760	8,760	8,760	8,760	8,760	8,760	8,760
Other noncurrent liabilities	2,397	2,692	2,511	3,162	3,918	5,197	8,760	8,760	8,760	8,760	8,760	8,760	8,760
Total Liabilities	24,664	24,420	27,649	28,633	27,165	29,050	33,388	25,975	27,679	27,679	28,323	29,030	32,983
Minority Interest	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Stockholders' Equity	46,797	48,633	50,748	54,165	58,806	72,459	100,724	135,136	173,286	211,923	253,505	298,072	345,790
Total Liabilities & Stockholders' Equity	71,461	73,053	78,397	82,798	85,971	101,509	134,112	161,111	200,965	239,602	281,828	327,102	378,773

Source: Company reports and J.P. Morgan estimates

Table 5: MU Cash Flow Statement

\$ in millions

	1Q25A	2Q25A	3Q25A	3Q25A	1Q26A	2Q26A	3Q26A	4Q26E	1Q27E	1Q27E	2Q27E	3Q27E	1Q28E
CASH FLOW FROM OPERATING ACTIVITIES													
GAAP Net income (loss)	1,870	1,583	1,851	3,167	5,240	13,785	28,243	35,662	39,047	39,047	41,978	45,214	48,615
Net cash provided by operating activities:													
Loss from discontinued operations													
Depreciation and amortization	2,030	2,079	2,094	2,149	2,212	2,286	2,364	2,364	2,364	2,364	2,364	2,364	2,364
Amortization of debt discount & financing costs													
Stock based compensation	220	249	253	250	290	309	355	323	323	323	323	323	323
Loss on extinguishment of debt													
Equity in net (income) losses of equity method investees, net	0	0	0	0	0	0	0	0	0	0	0	0	0
Non-cash restructuring charges (Gain)													
Non-controlling interest	(1)	0	0	(1)	0	0	0	(9)	0	(13)	0	0	0
Inventory write-down		0	0	0									
Loss from write-down/sale of equipment (currency hedges)													
Loss (gain) from write-down/sale of investments													
Gain from acq. Of Numonyx/MMJ Acq													
Other	1			1			112						
Changes in working capital													
Receivables	(817)	1,155	(461)	(1,653)	(871)	(7,427)	(11,655)	3,057	(3,006)	0	(2,209)	(2,436)	(4,099)
Inventories	170	(302)	280	372	150	(62)	(300)	(705)	(1,948)	0	(736)	(809)	(4,520)
Deferred income taxes, net													
Other current assets													
Account payable & accrued expenses	(241)	(473)	752	824	156	772	2,401	(7,413)	1,704	0	644	708	3,952
Deferred income taxes													
Other (customer prepayments)	12	(349)	(194)	587	1,234	2,240	3,868						
NET CASH PROVIDED BY OPERATING ACTIVITIES	3,244	3,942	4,575	5,696	8,411	11,903	25,388	33,279	38,483	41,721	42,364	45,364	46,636
CASH FLOW FROM INVESTING ACTIVITIES:													
Gross property, plant, and equipment	(3,206)	(4,055)	(2,938)	(5,658)	(5,389)	(6,387)	(7,826)	(10,500)	(11,000)	(12,000)	(13,000)	(13,000)	(11,000)
Government offsets (CHIPS Act and ITC)	65	963	266	711	878	1,378	733	300	300	300	300	300	300
Net Property, plant and equipment, net of sales	(3,141)	(3,092)	(2,672)	(4,947)	(4,511)	(5,009)	(7,093)	(10,200)	(10,700)	(11,700)	(12,700)	(12,700)	(10,700)
Proceeds from sales of property, plant and equipment	0	0	0	0	0	0	0	0	0	0	0	0	0
Sale/(Purchases) of securities	51	7	(12)	(238)	13	(432)	(2,420)						
Increase in restricted cash													
Acquisitions/dispositions				0									
Proceeds from sale of Hynix JV													
Cash form acq. Of Numonyx/Elpida													
Additions to /Return of Equity method investment													
Other	(58)	(67)	95	(13)	(96)	(84)	(56)	0	0	0	0	0	0
NET CASH USED IN INVESTING ACTIVITIES	(3,148)	(3,152)	(2,589)	(5,198)	(4,594)	(5,525)	(9,569)	(10,200)	(10,700)	(11,700)	(12,700)	(12,700)	(10,700)
CASH FLOW FROM FINANCING ACTIVITIES:													
Issuance/(Repayments) of debt	(84)	140	770	(1,015)	(2,943)	(1,683)	(4,754)	0	0	0	0	0	0
Proceeds from equipment sale-leaseback	0			0									
Proceeds from issuance of common stock													
Proceeds from issuances of warrants/Debt													
Payments on equipment purchase contracts													
Distribution/acquisition to/from noncontrolling interests	0	0	0	0	0	0	0	0	0	0	0	0	0
Purchase of call spread options													
Debt issuance costs													
Other (inc. Share repurchases starting in FY19)	(279)	(103)	(230)	(49)	(802)	(484)	20	(1,000)	(1,250)	(750)	(750)	(1,000)	(1,250)
Net cash from financing activities	(363)	37	540	(1,064)	(3,745)	(2,167)	(4,734)	(1,000)	(1,250)	(750)	(750)	(1,000)	(1,250)
Effect on changes in forex	(29)	(20)	0	15	14	(9)	3	0	0	0	0	0	0
Net change in cash	(296)	807	2,526	(551)	86	4,202	11,088	22,079	26,533	29,271	28,914	31,664	34,686
Cash and equivalents at beginning of period	7,565	7,269	8,077	10,602	10,051	10,137	14,339	25,427	47,507	74,040	103,311	132,225	163,889
Cash and equivalents at end of period	7,269	8,077	10,602	10,051	10,137	14,339	25,427	47,507	74,040	103,311	132,225	163,889	198,574

Source: Company reports and J.P. Morgan estimates

Investment Thesis, Valuation and Risks

Micron Technology *(Overweight; Price Target: \$1,540.00)*

Investment Thesis

- Longer term, the company's increasing product (DRAM, NAND, NOR) and end-market diversification should dampen revenue/earnings volatility and also position the company to do well in markets (handset) that require multiple types of memory.
- Micron should benefit from secular trends in data center DRAM (HBM), which should help it reduce volatility to commodity DRAM. Post the Elpida acquisition, we believe Micron will be positioned well to benefit from secular trends in mobility, networking, and cloud computing.
- New technology, divestiture of non-core assets, and cost-cutting efforts should help it improve gross margins and profitability in the coming quarters.

Valuation

We establish a Dec-27 PT of \$1540 (from \$550 for Dec-26), which is based on 10x (10-yr median P/E multiple) \$154 of EPS in FY28.

Risks to Rating and Price Target

- Micron competes in extremely competitive markets – operational execution is critical.
- Any sudden weakness in demand outlook for PCs could reduce our estimates on DRAM price recovery and memory content growth.
- An aggressive ASP decline combined with lower per gigabit manufacturing cost reduction could cause us to lower our revenue and earnings estimates.
- Any imbalance in DRAM and NAND supply/demand could cause us to lower our revenue and earnings estimates.
- Our NAND demand assumptions could change the overall growth for the sector if we continue to see a further supply/demand disconnect.
- Any macroeconomic-driven demand softness could potentially result in lower demand for Micron's products and could impact revenues/profitability profile for the company.

Micron Technology: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26A	4Q26E
Revenue	25,111	37,310	130,002	251,402	-	Revenue	13,643A	23,860A	41,456A	51,042
COGS	(19,498)	(22,505)	(25,553)	(38,305)	-	COGS	(5,997)A	(6,105)A	(6,400)A	(7,051)
Gross profit	5,613	14,805	104,449	213,097	-	Gross profit	7,646A	17,755A	35,056A	43,992
SG&A	(1,129)	(1,205)	(1,527)	(1,799)	-	SG&A	(337)A	(344)A	(407)A	(439)
Adj. EBITDA	9,084	18,054	106,927	207,752	-	Adj. EBITDA	8,348A	18,421A	35,682A	44,475
D&A	(7,780)	(8,352)	(9,226)	(2,364)	-	D&A	(2,212)A	(2,286)A	(2,364)A	(2,364)
Adj. EBIT	1,304	9,702	97,701	205,388	-	Adj. EBIT	6,136A	16,135A	33,318A	42,111
Net Interest	(33)	19	618	860	-	Net Interest	65A	123A	215A	215
Adj. PBT	1,240	9,586	97,439	204,964	-	Adj. PBT	6,061A	16,160A	33,212A	42,005
Tax	(451)	(1,124)	(14,521)	(30,950)	-	Tax	(829)A	(2,371)A	(4,978)A	(6,343)
Minority Interest	0	9	13	0	-	Minority Interest	8A	(4)A	9A	0
Adj. Net Income	1,472	9,402	84,701	176,699	-	Adj. Net Income	5,482A	14,021A	28,864A	36,333
Reported EPS	0.67	7.41	72.15	151.32	-	Reported EPS	4.56A	12.00A	24.58A	31.01
Adj. EPS	1.27	8.23	73.69	153.65	-	Adj. EPS	4.78A	12.20A	25.12A	31.59
DPS	-	-	-	-	-	DPS	-	-	-	-
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-
Shares outstanding	1,163	1,143	1,149	1,150	1,150	Shares outstanding	1,148A	1,149A	1,149A	1,150
Balance Sheet & Cash Flow Statement						Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	8,106	10,307	47,507	163,889	-	Gross margin	22.4%	39.7%	80.3%	84.8%
Accounts receivable	6,615	9,265	27,968	35,620	-	EBITDA margin	36.2%	48.4%	82.3%	82.6%
Inventories	8,875	8,355	9,272	12,766	-	EBIT margin	5.2%	26.0%	75.2%	81.7%
Other current assets	776	914	1,123	1,123	-	Net profit margin	5.9%	25.2%	65.2%	70.3%
Current assets	24,372	28,841	85,870	213,397	-	ROE	3.3%	18.9%	89.5%	81.6%
PP&E	39,749	46,590	64,292	102,756	-	ROA	2.2%	12.4%	69.5%	72.4%
LT investments	-	-	-	-	-	ROCE	1.4%	13.5%	79.3%	78.4%
Other non current assets	5,295	7,367	10,949	10,949	-	SG&A/Sales	4.5%	3.2%	1.2%	0.7%
Total assets	69,416	82,798	161,111	327,102	-	Net debt/equity	0.1	0.1	NM	NM
Short term borrowings	431	560	582	582	-	P/E (x)	828.8	127.5	14.2	6.8
Payables	7,299	9,649	8,108	11,163	-	P/BV (x)	27.0	22.1	8.9	4.0
Other short term liabilities	1,518	1,245	3,385	3,385	-	EV/EBITDA (x)	132.7	66.7	10.8	5.0
Current liabilities	9,248	11,454	12,075	15,130	-	Dividend Yield	-	-	-	-
Long-term debt	12,966	14,017	5,140	5,140	-	Sales/Assets (x)	0.4	0.5	1.1	1.0
Other long term liabilities	2,071	3,162	8,760	8,760	-	Interest cover (x)	275.3	-	-	-
Total liabilities	24,285	28,633	25,975	29,030	-	Operating leverage	(199.2%)	1325.6%	365.1%	118.0%
Shareholders' equity	45,131	54,165	135,136	298,072	-	Revenue y/y Growth	61.6%	48.6%	248.4%	93.4%
Minority interests	0	0	-	-	-	EBITDA y/y Growth	351.7%	98.7%	492.3%	94.3%
Total liabilities & equity	69,416	82,798	161,111	327,102	-	Tax rate	36.4%	11.7%	14.9%	15.1%
BVPS	38.79	47.39	117.57	259.19	-	Adj. Net Income y/y Growth	(130.3%)	538.8%	800.9%	108.6%
y/y Growth	(3.9%)	22.2%	148.1%	120.4%	-	EPS y/y Growth	(128.4%)	550.2%	795.8%	108.5%
Net debt/(cash)	5,291	4,270	(41,785)	(158,167)	-	DPS y/y Growth	-	-	-	-
Cash flow from operating activities	8,507	17,457	78,982	167,932	-					
o/w Depreciation & amortization	7,780	8,352	9,226	9,456	-					
o/w Changes in working capital	(884)	(338)	(14,555)	(8,090)	-					
Cash flow from investing activities	(8,309)	(14,087)	(29,888)	(47,800)	-					
o/w Capital expenditure	(8,071)	(13,852)	(26,813)	(47,800)	-					
as % of sales	32.1%	37.1%	20.6%	19.0%	-					
Cash flow from financing activities	(1,842)	(850)	(11,646)	(3,750)	-					
o/w Dividends paid	-	-	-	-	-					
o/w Net debt issued/(repaid)	(898)	(189)	(9,380)	0	-					
Net change in cash	(1,644)	2,520	37,448	116,382	-					
Adj. Free cash flow to firm	457	3,605	52,169	120,132	-					
y/y Growth	(108.5%)	688.7%	1347.3%	130.3%	-					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Aug. o/w - out of which

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Micron Technology (MU, MU US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 01, 2004. All share prices are as of market close on the previous business day.

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